

Money and banking - lesson 3

3.1.2 Commercial banks

商业银行

Functions, financial intermediation and competition



RECALL

Recall last lesson

1 Define Generally acceptable.

People are willing to accept it as payment.

2 Define Divisible.

Money is available in smaller unit values so people can make payments of different sizes.

3 Define Durable.

Money lasts through repeated use without easily wearing out.

Write three definitions independently before revealing the models.

By the end, you can

1

Define a commercial bank and explain intermediation.

定义商业银行并解释金融中介作用。

2

Explain commercial-bank functions and importance.

解释商业银行的职能与重要性。

3

Explain how competition affects customers' choice of bank.

解释竞争如何影响客户对银行的选择。

Definition of a commercial bank

商业银行的定义

1 Definition of a commercial bank

2 Functions of a commercial bank

3 Competition and choice of bank

● DISCUSS

Which commercial banks do you know?

Show possible answer

A customer holding a smartphone above a contactless payment terminal

Jack Sparrow / Pexels

Examples of commercial banks 商业银行实例



ICBC
中国工商银行
Beijing headquarters

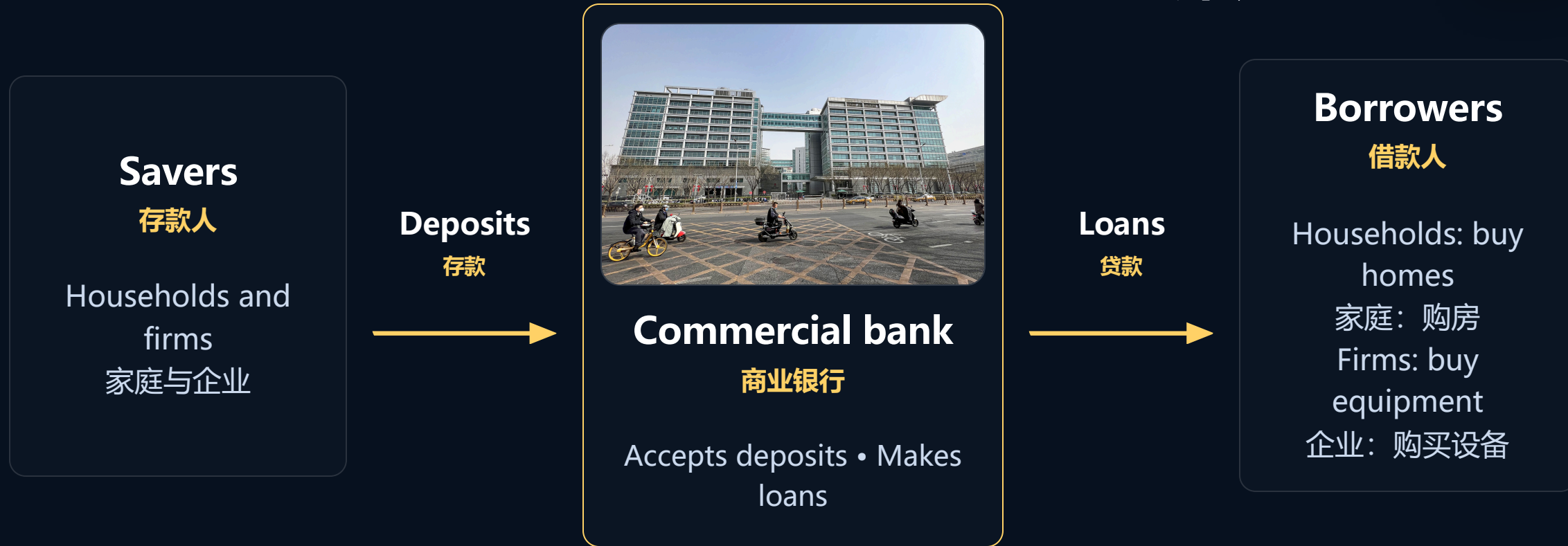


HSBC
汇丰银行
Hong Kong headquarters



Bank of China (Hong Kong)
中国银行（香港）
Bank of China Tower

Commercial banks as financial intermediaries 金融中介



The bank connects savers and borrowers. 银行连接存款人与借款人。

KEY TERM

Commercial bank

商业银行

DEFINITION

A bank that **accepts deposits**, **lends money** and provides payment services to customers.

接受存款、发放贷款并为客户提供支付服务的银行。



ICBC headquarters in Beijing.

N509FZ / CC BY-SA 4.0

Functions of a commercial bank

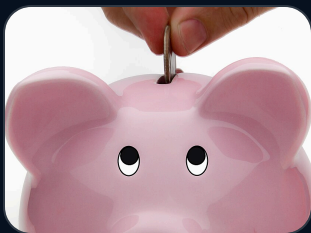
商业银行的职能

1 Definition of a commercial bank

2 Functions of a commercial bank

3 Competition and choice of bank

Functions of a commercial bank 商业银行的职能



Accept deposits

接受存款

- Current accounts 活期账户
- Savings accounts 储蓄账户



Lend money

发放贷款

- Loans 贷款
- Overdrafts 透支



Process payments

办理支付

- Bank transfers 银行转账
- Card payments 银行卡支付

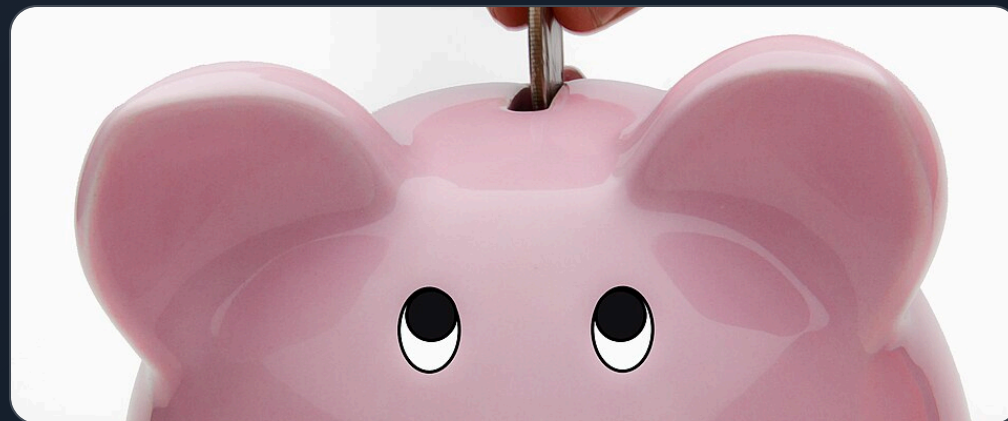
Current account 活期账户



Used for frequent receipts and **payments**.

Can use transfers and a **debit** card.

Savings account 储蓄账户



Keeps funds for **future** use.

May pay **interest** on the balance.

Choose an account and explain why

1 Emma pays suppliers several times a week. Which account suits this use?

Current account

It supports regular payments and transfers.

2 A household sets money aside for next year. What benefit could a savings account provide?

Interest on savings

Interest may increase the funds available for future spending.

Write your answers before revealing the models.

KEY TERM

Loan

贷款

DEFINITION

A loan is money borrowed under an agreement to **repay it later**, usually with **interest**.

贷款是按协议借入、以后偿还的资金，通常需要支付利息。

interest

利息

The charge paid for borrowing money.



A loan agreement setting out the terms of borrowing and future repayment

RDNE Stock project / Pexels

Types of bank lending

银行贷款的类型

TYPE 类型	HOW IT WORKS 运作方式
Loan 贷款	Borrow a sum; repay with interest. 借入一笔钱，偿还本息。
Overdraft 透支	Spend more than the account balance, up to a limit. 在限额内支出超过账户余额。
Mortgage 按揭贷款	A home loan secured on the property. 以房屋作抵押的贷款。

Name the borrowing product

1 A firm has permission to overdraw its current account by RMB 2,000 until customers pay.

Overdraft

It can meet a temporary shortage of funds up to an agreed limit.

2 A household borrows to buy a home, which the lender can take if repayments fail.

Mortgage

The borrowing is secured on the property.

Write your answers before revealing the models.

How bank lending supports investment

银行贷款如何支持投资

1

The bank provides a
of RMB 3,000

银行提供3,000元贷款

loan



2

Emma finances
fridge

Emma为购买冰箱的投资筹资

investment



3

Greater food storage can help the
cafe

expand

储存更多食物可以帮助咖啡馆扩大经营

Check

What is an advantage to a country of having an efficient commercial banking system?

- A** It controls the money supply.
- B** It discourages spending.
- C** It encourages tax evasion.
- D** It enables investment.

● DISCUSS

What else do commercial banks do?

Show possible answer

An adviser discussing financial documents with older clients.

Functions of a commercial bank 商业银行的职能



Convert foreign currency

外币兑换

Exchange currency for travellers.
为旅客兑换外币。



Give financial advice

财务建议

- Debt advice 债务建议
- Retirement planning 退休规划



Arrange insurance

安排保险

Arrange house or car insurance.
安排房屋或汽车保险。

Explain two roles of commercial banks for firms. [4]

PAPER 2

4 marks

Explain

Skills: K/An

MAY/JUNE 2023, 0455/23 Q2(B)

Identify role [1]**Explain role for firms [1]****Identify role [1]****Explain role for firms [1]**

Write for four minutes. Keep each explanation about a use for a firm.

Explain two roles of commercial banks for firms. [4]

MODEL ANSWER

Commercial banks **provide loans**. A firm can use a loan to **buy machinery**, financing investment before it has saved enough money.

Commercial banks **process payments**. A firm can **transfer money to suppliers** through online banking, allowing it to settle bills without delivering cash.

Why this scores well

Each role earns 1 mark and its explanation earns 1 mark: two developed roles give four creditworthy points.

Analyse the services provided to households by commercial banks. [6]

PAPER 2

6 marks

Analyse

Skills: K/An

OCTOBER/NOVEMBER 2025, 0455/23 Q3(C)

Identify a service

→ **Explain how it works**

→ **Develop the household effect**

Service → how it works → consequence. Build connected explanations using “because”, “so” or “therefore”. Develop up to three services; a list alone is not analysis.

Analyse the services provided to households by commercial banks. [6]

MODEL ANSWER

Commercial banks accept savings deposits. A household can use a savings account to keep money for future use and may earn interest, increasing the funds available for later spending.

Banks process payments through current accounts. A household can receive wages and use bank transfers to pay bills, enabling it to make and receive payments without handling cash.

Banks provide mortgages. This enables a household to buy a home before it has saved the full purchase price. The household repays the borrowing over time and normally pays interest.

Why this scores well

The answer develops three service areas using specific products and household benefits. A list of six service names would not show this analysis.

Competition and choice of bank

银行竞争与选择

1 Definition of a
commercial bank

2 Functions of a
commercial bank

3 Competition and
choice of bank

A bank wants more borrowers and savers. How should it change loan rates and savings rates? Explain each choice.

Show possible answer

HSBC's Hong Kong headquarters.

Baycrest - Wikipedia user - CC-BY-SA-2.5

Attract borrowers 吸引借款人

Offer a **lower** loan interest rate.

Borrowing costs **fall**.

Customers may take a **loan** from this bank.

Attract savers 吸引储户

Offer a **higher** savings interest rate.

The reward for saving **rises**.

Customers may move their **deposits** here.

If interest rates fall, what will be the most likely effect on saving and borrowing?

- A** Saving: decrease; borrowing: decrease.
- B** Saving: decrease; borrowing: increase.
- C** Saving: increase; borrowing: decrease.
- D** Saving: increase; borrowing: increase.

Non-price competition between banks

银行的非价格竞争

METHOD	WHAT CHANGES	WHY CUSTOMERS MAY CHOOSE IT
Increase accessibility 提高便利性	Open more branches or offer more internet banking.	Customers can bank more conveniently.
Improve services 改善服务	Offer insurance or bank cards with added benefits.	Meet more customers' needs.
Advertise 做广告	Promote the bank and its services.	Increase brand awareness.

Identify two influences, other than price, on a customer's choice of bank. [2]

PAPER 2

2 marks

Identify

Skills: K

MAY/JUNE 2023, 0455/22 Q2(A)

Identify influence [1]

Identify influence [1]

Write two brief points. Use non-price examples.

Identify two influences, other than price, on a customer's choice of bank. [2]

MODEL ANSWER

The **location** of the bank's branches.

The availability of **online banking facilities**.

Why this scores well

Two valid influences earn two marks. This Identify question does not require two developed paragraphs.

Explain two ways a commercial bank could attract more customers. [4]

PAPER 2

4 marks

Explain

Skills: K/An

OCTOBER/NOVEMBER 2024, 0455/23 Q5(B)

Identify method [1]**Explain how it attracts customers [1]****Identify method [1]****Explain how it attracts customers [1]****Try two sentences, then compare them with the worked model.**

Explain two ways a commercial bank could attract more customers. [4]

MODEL ANSWER

A commercial bank could **lower the interest rate on loans**. This **reduces borrowing costs** and may attract customers who want to borrow money.

It could **improve access** by offering more online banking services. Customers can make payments without travelling to a branch, so using the bank becomes **more convenient**.

Why this scores well

Each paragraph identifies a method (1) and explains why it could attract customers (1).

Why more banks can benefit customers

更多银行为何可能使客户受益

1

More banks compete for the same **customers**

更多银行争取同一批客户

>

2

They may cut charges or improve **services**

银行可能降低收费或改善服务

>

3

Customers pay less or receive better **quality**

客户可能支付更少费用或获得更优服务

Explain two benefits that consumers may gain from having more commercial banks. [4]

PAPER 2

4 marks

Explain

Skills: K/An

MAY/JUNE 2024, 0455/21 Q2(B)

Identify benefit [1]**Explain benefit for consumers [1]****Identify benefit [1]****Explain benefit for consumers [1]**

Write independently for four minutes. Explain how having more banks produces each benefit.

Explain two benefits that consumers may gain from having more commercial banks. [4]

MODEL ANSWER

Consumers may pay **lower bank charges** because more banks create **stronger competition** for customers. Banks may cut charges to attract or keep customers.

Banking may become **more convenient** if additional banks open branches closer to consumers' homes. This **reduces the time** spent travelling to obtain banking services.

Why this scores well

Two distinct benefits, each linked to an explanation. Name the benefit to consumers, not only what the bank does.

Exit ticket

离堂小测

1 Explain how a mortgage can help a household.

A mortgage finances a home purchase before the household has saved the full price.

The household repays the loan with interest over time.

2 Explain one way a bank could attract more borrowers.

Lower loan interest rates reduce borrowing costs and may attract more borrowers.

3 Explain why more commercial banks may benefit consumers.

Greater competition may lead banks to lower charges or improve services.

Link the benefit to having more banks.

Write independently before revealing each suggested answer.

Importance of commercial banks to governments

商业银行对政府的重要性

SERVICE	GOVERNMENT USE	IMPORTANCE
Payments 支付	Pay suppliers and workers; receive revenue.	Government transactions can take place.
Lending 贷款	Borrow from banks or sell bonds to them.	Finance spending before sufficient revenue is available.

Explain the importance of commercial banks to governments. [4]

PAPER 2

4 marks

Explain

Skills: K/An

MAY/JUNE 2025, 0455/23 Q2(B)

1

Focus on commercial banks

2

Explain government uses

Write a developed explanation worth four marks.

Explain the importance of commercial banks to governments. [4]

MODEL ANSWER

Commercial banks can **process transactions** for governments, such as **payments to suppliers and public workers**. This enables the government to make payments for goods and services.

Commercial banks can **lend to governments** or buy government bonds. This provides **finance for government spending**, such as a road, when tax revenue is insufficient.

Why this scores well

The explanation remains about commercial-bank services and government uses. It develops transactions and finance.

Reasons for increased bank lending

银行增加贷款的原因

REASON	EXPLANATION
Interest income 利息收入	More repaid loans can earn more interest and raise profit.
Repayment confidence 还款信心	Higher borrower incomes may reduce the risk of non-repayment.
Demand and funding 需求与资金	More demand for loans or additional deposits may support lending.

Explain why commercial banks may increase their lending. [4]

PAPER 2

4 marks

Explain

Skills: K/An

FEBRUARY/MARCH 2025, 0455/22 Q5(B)

1

Explain the bank's incentive

2

Develop a reason it can or will lend more

Write a four-mark explanation. Specify whether you mean loan demand, bank income or repayment risk.

Explain why commercial banks may increase their lending. [4]

MODEL ANSWER

Commercial banks may increase lending to **earn more interest income**. If borrowers repay and additional revenue exceeds costs, this can **increase the banks' profits**.

Banks may also become more confident that loans will be repaid when **borrowers' incomes rise**. A **lower expected risk of default** may make them more willing to approve loans.

Why this scores well

Both paragraphs develop reasons from the bank's perspective. Neither assumes that additional lending guarantees profit.